

THE CROSSFIRE

"This is the minister who makes money. The petroleum minister must resign. If the leader of the House does not agree to it, then this Government will lose its credibility."

MULAYAM SINGH YADAV, *SP President*

"The interests of the economy cannot be held hostage to the benevolence and mercy of some private players. There is absolutely no justification of pricing it on the basis of linkage with international price."

SITARAM YECHURY, D. RAJA, BRINDA KARAT, BASUDEV ACHARIA, PRASHANT CHATTERJEE, *Left party leaders*

"We are not concerned with the case of the Ambani brothers, the disputed agreement or the stand of the Petroleum Ministry. Our case (NTPC) is in the Bombay High Court."

SUSHILKUMAR SHINDE, *Power Minister*

"The Government has not covered itself with glory because it has not answered various charges levelled by one corporate house. It cannot say that it is national property and then not answer certain questions."

YASHWANT SINHA, *BJP Leader*

"Only impartial and rational prioritisation of gas allocation by an independent agency like the Government can serve the long-term interest of the country."

Y.S. RAJASEKHARA REDDY, *Andhra Pradesh Chief Minister*

MOTHER KOKILABEN
FLANKED BY SONS
ANIL AND MUKESH



BHASKAR PAUL

nels. The Mukesh camp is just as active but it is his ability to get the Government to fight with him that is the buzz in Delhi. For instance, on August 3, Anil alleged that the capital expenditure stated by RIL at the KG Basin to explore and extract gas was overstated or, in Mumbai parlance, was gold-plated. To appreciate the implicit allegation one must remember that in the production sharing contract the investor gets to recover his costs first. What Anil was suggesting is that by over stating costs, RIL would take longer to recover its cost thereby diluting the returns of the Government.

The response from the Government was swift the very next day. Director-General of Hydrocarbons V.K. Sibal dismissed the suggestion. "The idea of gold-plating betrays a lack of knowledge of business economics." He added that the capex has been independently audited. It was the opening Anil was waiting for. On August 5, his team made a presentation charging the "independent auditors" with connections to RIL and raising issues of conflict of interest. A furious Sibal dismissed the charges and said he was "answerable to the Government, not Mr Ambani".

The point raised on capex is not a wild card entry by Anil's camp. Both the Government and RIL have maintained that if the gas price is reduced, the Centre will lose crores as the operator gets to recover costs first and RIL will take longer to recover its costs. By suggesting that costs have been inflated and by pushing for a probe, Anil's camp has created doubts over the very argument of loss to the Government.

Throughout this battle, the strategy of the Anil camp has been to drive a wedge between different arms of the Government and within the petroleum ministry to force a change for a so-called neutral umpire. The issues raised by the warring parties are complex. In its quest to rise above charges

of partisanship, the Petroleum Ministry declared that the gas is a sovereign property. It is not a claim that will be contested but the question that needs to be answered clearly is whether the company investing in a New Exploration and Licensing Policy (NELP) field has the freedom to market the gas or not. Intriguingly, within the same NELP, companies that drill and get crude oil are not subject to any utilisation policy and can sell at prices benchmarked to a global index. The Anil camp has virtually charged the Government of creating a pricing policy and a gas utilisation policy to shield RIL from delivering gas to RNRL.

The battle itself will now be fought over the next six months or so in the Supreme Court. Meanwhile, a whole new procession of jargon has joined popular lexicon. Terms like profit gas and cost petroleum are battling for space with acronyms like mmcmd and GSA. A battalion of lawyers are studying the thin reef between the lines and grey areas of opportunity for their clients and themselves as over Rs 200 crore will be spent over the next six months